

Q3 2026 Portfolio Update

What changed this quarter — and why.

July 2026

01 · What Changed & Why

This quarter's changes were driven by three forces: the Iran conflict and its round-trip through the oil market, a sharp repricing of high-quality software and data companies, and the accelerating electricity demand behind the AI build-out.

We realigned both portfolios — trimming what had run ahead of its fundamentals and adding durable businesses trading at unusual discounts. Every change was informed by our research library and sector-rotation framework.

02 · Market Context

GEOPOLITICAL DISRUPTION

The Oil Round-Trip

The Iran conflict pushed crude above \$100 per barrel when the Strait of Hormuz — roughly 20% of the world's seaborne oil — was disrupted in the spring. Since the June ceasefire, oil has round-tripped nearly all the way back to about \$70. The premium came out of crude, but the situation remains fragile: the strait is only partly reopened, and refining margins stayed elevated well after crude normalized.

A MISPRICING

The Software & Data Repricing

Markets spent much of the quarter worried that AI would disrupt established software and data companies, and sold many of them down to some of the cheapest valuations in their history. We view this as a mispricing for some companies — the strongest of these businesses are selling AI tools and getting stronger, not weaker.

THE REAL CONSTRAINT

The Electricity Bottleneck

The real constraint on AI has shifted from computer chips to electricity. Data centers need enormous amounts of around-the-clock, carbon-free power, and the grid can't keep up. This quarter, Walmart signed its first-ever nuclear power agreement, and the Department of Energy committed billions to new reactors — clear signals of a structural power shortage. Many data centers have the chips they need to function, yet aren't able to plug them in due to the energy bottleneck.

03 · Dividend Portfolio Changes

The dividend portfolio remains at **25 holdings**. We exited three positions and added three, rotating out of commodity-cycle energy and rate-sensitive names, as the 30-Year Treasury recently hit its highest level since 2007, and we moved into durable data, power, and income businesses.

EXITS · SOLD

Valero **VLO**

OIL REFINING

We sold Valero into strength, near an all-time high. Refining margins — the gap between crude oil and the gasoline and diesel refiners produce — reached extreme levels during the war and are historically prone to normalizing. Consensus expects Valero's earnings to decline meaningfully next year as those margins revert. Beyond the timing, Valero also carried a low overall quality score on our screening framework. Selling at a cyclical peak — while the price was high — the idea here is to harvest a substantial gain rather than wait for the margin to compress.

Devon Energy **DVN**

OIL & GAS PRODUCTION

Devon is trades as though it is a bet on the price of crude oil — when oil spikes it rises, and when oil round-trips it gives those gains back. It came to us through the Coterra merger, and over multiple oil cycles it has produced little net gain while swinging sharply. For an income-focused portfolio, a holding with no reliable compounding and a variable dividend wasn't the right fit.

Black Hills **BKH**

REGULATED UTILITY

A rate-sensitive regulated utility facing headwinds in a higher-for-longer interest-rate environment, with a pending merger that added uncertainty. We redeployed into power exposure with a stronger growth profile.

ADDITIONS · BOUGHT

Constellation Energy **CEG**

NUCLEAR POWER

Constellation operates the largest fleet of nuclear power plants in America — up-and-running reactors generating electricity today, not a construction project. Nuclear is the only source that is both carbon-free and available 24/7, making it exactly what AI data centers need. As technology companies compete for round-the-clock clean power, Constellation owns the scarce asset and is signing long-term contracts (such as Walmart's first nuclear agreement) that lock in that demand for years.

Yield ~0.6%

Utilities

Owns the reactors powering the AI boom

Fwd P/E ~20x

S&P Global **SPGI**

FINANCIAL DATA & RATINGS

S&P Global is the scorekeeper of the financial system. It's half of the credit-ratings duopoly — companies must have their debt rated to borrow — and it owns the S&P 500 and other indexes that trillions of investment dollars are benchmarked against. Everyone in finance pays it a toll, in good markets and bad. The market feared AI would erode its data business; we believe authoritative, trusted data becomes more valuable as AI spreads. We bought it close to the cheapest valuation in its public history.

Yield ~0.8%

Financials

A toll on the entire financial system

Fwd P/E ~21x

NatWest **NWG**

UK BANK · INCOME ANCHOR

NatWest is one of the United Kingdom's largest retail and commercial banks — well-run, profitable, and recently raising its own guidance. One role it plays in the portfolio is income: it pays a high dividend, trades cheaply, and adds exposure to a healthy non-US bank we didn't previously own. Once government-owned after the 2008 crisis, the UK Treasury fully exited its stake in 2025, and the bank now earns a strong return on equity.

Yield ~6.9% (fwd)

Financials

The income anchor — a cheap, profitable UK bank

RoTE 17%+

04 · Growth Portfolio Changes

The growth portfolio remains at **25 holdings**. We exited two weaker positions (plus a third that was cashed out in a merger) and added three, concentrating on quality software, financial technology, and a well-priced market leader.

EXITS · SOLD

Coinbase **COIN**

CRYPTO EXCHANGE

Deteriorating fundamentals and one of the weakest quality profiles in the portfolio. We consolidated our financial-technology exposure into a stronger single holding.

Grupo Supervielle **SUPV**

ARGENTINE BANK

The lowest-quality holding in the portfolio on our screening framework, in a volatile market. We exited to raise the overall quality of the sleeve.

Clearwater Analytics

CWAN

SOFTWARE · MERGER CASH-OUT

Cashed out via merger — an involuntary exit as the company was acquired.

ADDITIONS · BOUGHT

ServiceNow

NOW

ENTERPRISE SOFTWARE

ServiceNow is the software large companies use to run their internal operations — IT, HR, and workflows — the digital plumbing that keeps a big organization running day to day, and difficult to rip out once installed. Investors feared AI "agents" would replace this kind of software and cut the stock in half; in reality ServiceNow is selling the AI tools and still growing about 20% a year. We bought a dominant franchise at close to its cheapest valuation as a public company.

Technology

Growth ~20%/yr

The operating system for large enterprises, on sale

Highest-conviction buy

SoFi Technologies

SOFI

DIGITAL BANK

SoFi is a fast-growing, app-based bank offering loans, saving, investing, and payments with no physical branches, aimed at younger customers who do everything from their phones. Revenue is growing over 30% as it wins that demographic. This is our single consolidated bet on digital finance — we exited Coinbase to concentrate here — sized deliberately given consumer-credit risk later this year.

Financials

Revenue growth 30%+

The digital-first bank for the phone generation

Full Truck Alliance

YMM

CHINA FREIGHT PLATFORM

Full Truck Alliance runs the dominant freight-matching app in China — think "Uber for trucking" — connecting drivers with cargo and taking a fee on each load. It's the clear market leader, holds a large cash position, recently began paying a dividend, and It's inexpensive based on current valuation.

Industrials / Transport

Attractive valuation

The dominant freight app of China's trucking industry

05 · Valuation Discipline

Discipline cuts both ways. The same framework that says quality software is cheap says a few of our winners had grown expensive. We trimmed the following — not because they're poor businesses, but because their valuations had run well ahead of their earnings. Those trims helped fund the additions above.

AMD Trim

Caterpillar Trim

Lam Research Trim

06 · A Note for Five-Year Cash Strategy Clients

For clients following our five-year cash strategy, we added the **Invesco BulletShares 2030 Corporate Bond ETF (BSCU)** for our new **fifth year bond**.

07 · Sector Allocation

Final executed target weights.

DIVIDEND · 25 HOLDINGS

SECTOR	WEIGHT	HOLDINGS
Technology	15.0%	QCOM, TEL, ADI, LRCX

SECTOR	WEIGHT	HOLDINGS
Industrials	16.5%	LMT, GD, CAT, FAST, PCAR
Financials	13.0%	SPGI, NWG, ORI
Software	12.0%	SSNC, ADP
Healthcare	12.0%	SYK, ABT, DGX
Utilities	11.5%	CEG, NEE, ATO
Materials	8.0%	STLD, NTR
Consumer Staples	8.0%	CHD, CL
Consumer Disc.	4.0%	GPC

GROWTH • 25 HOLDINGS

SECTOR	WEIGHT	HOLDINGS
Technology	28.5%	NVDA, MRVL, TSM, CRDO, KEYS, NXPI, AMD
Financials	20.5%	SOFI, HOOD, HUT, MARA, SYF
Materials	11.5%	FCX, AEM
Software	11.0%	NOW, FTNT
Utilities	8.5%	VST, EIX
Energy	7.5%	CVX, CNX, OKE
Consumer Disc.	5.5%	TOL, ATAT
Industrials / Transport	4.0%	YMM
Healthcare	3.0%	HRMY

o8 • Sources & References

The analysis behind this quarter’s changes draws on the following underlying data and published research.

OIL & THE REFINING CYCLE

James D. Hamilton, oil price & recession studies (1983, 2003, 2011); Lutz Kilian (2009). U.S. Federal Reserve IFDP-1114 and FEDS Notes on oil pass-through. U.S. EIA and IEA supply & inventory data. Reuters reporting on strategic-reserve rebuilding; Goldman Sachs, Morgan Stanley, J.P. Morgan & UBS crude-price scenarios.

AI INFRASTRUCTURE & THE POWER BOTTLENECK

Company SEC filings and quarterly earnings calls for the major cloud and semiconductor operators. Sequoia Capital's AI revenue-gap analysis; J.P. Morgan, Morgan Stanley, Evercore & Bank of America capital-expenditure estimates. Cast AI Kubernetes utilization study (2025–2026) on enterprise GPU usage.

SECTOR-ROTATION METHODOLOGY

Molchanov & Stangl (2024), *International Journal of Finance & Economics*; Moskowitz & Grinblatt (1999) and Kacperczyk, Sialm & Zheng (2005), *Journal of Finance*; Conover, Jensen, Johnson & Mercer (2008), *Journal of Investing*; Stangl, Jacobsen & Visaltanachoti (2009); Doeswijk (2008). DWS CROCI Sectors Plus methodology; AQR Capital Management research. Technical signal data from StockCharts, TradingView & Barchart across the eleven S&P 500 sector ETFs.

MARKETS & MACRO DATA

FactSet Earnings Insight; MSCI multi-asset research; Oxford Economics macro estimates. Company disclosures and consensus analyst estimates for individual holdings. Full detail on our underlying research is available upon request.

Disclosure

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